

Marketing Plan

Coca-Cola (KO): Coca-Cola Classic

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Table of Contents

Executive Summary	3
Current Marketing Situation	4
Market Description	5
Five Year Financial Plan	5
Product Review	6
Competition	7
Distribution	7
Threats and Opportunities Analysis	8
Strength	8
Weaknesses	9
Opportunities	9
Threats	10
Objectives and Issues	11
Marketing Strategy	12
Product	12
Place	12
Price	13
Promotion	13
Positioning	13
Action Programs	14
Quarter 1	14
Quarter 2	14
Quarter 3	15
Quarter 4	15
Budgets	16
Controls	16
Appendix	17
References	20

Executive Summary:

Coca-Cola is renowned for its ability to maintain its standing for decades in the beverage industry. It has a rich and vibrant history, starting its company back in 1886 which was originally made as a medical tonic. However, the drink became a sensation leading to the founding of it in a pharmacy in Atlanta, Georgia. Over time, Coca-Cola transformed into an iconic global brand. “By its centenary, Coke had transcended mere nationality, and its advertising was teaching the world to sing in over 135 countries and over 60 languages” (Reed, 1993, p. 54). Coca-Cola’s Classic drink remains the heart and soul of the business we all love and drink. This marketing plan will show how Coca-Cola continues to reinforce itself as the complete and ultimate beverage. Continuously, Coca-Cola understands how to maintain its old customers and understands how to drive in newer generations with the creation or acquisition of different drinks. Coca-Cola refuses to give its spot as the biggest beverage by evolving daily. The primary strategies Coca-Cola uses to continue maintaining its strong presence in the beverage industry by using marketing tactics such as brand recognition, using things such as aggressive marketing, and emotional branding and nostalgia. These strategies are deeply integrated into Coca-Cola Classic's marketing plan and help maintain its market dominance over time. Coca-Cola are known for their thought and emotion provoking advertising. Leveraging their memorable advertisements like the “share a coke” and their holiday-themed advertisements. These types of advertisements harbor an emotion with their customers. It creates long-term loyalty and more customer engagement. They understand how to leverage their company without losing their brand identity which is important for a classic brand such as Coca-Cola. Furthermore, they understand how to aggressively market in their sector. Coca-Cola is one the most renowned

companies in the world and continues to grow even with all the years in the business they were. Coca-Cola heavily invests in advertising in all types of media. Some examples could be television, digital media, and using outside billboards to advertise their products. Using smart advertising like advertising during major sporting events or global holidays. Lastly, Coca-Cola is widely known and has a strong logo and color scheme. The Coca-Cola brand is immediately recognizable due to its iconic logo, distinct red and white color scheme, and signature bottle design. Keeping the same color scheme for decades allows people to remember and build upon its legacy. The company's logo was created in 1887 and stayed basically the same with its elegant cursive style. They creatively use the red and the white to invoke emotions such as boldness, excitement, and joy. However, using all these fantastic marketing strategies would stop other companies from competing with them. Notably, some of their strongest competitors are PepsiCo (PEP) and Keurig Dr Pepper (KDP). These companies still remain significant threats and both companies offer their own unique products which can challenge Coca-Cola's dominance in the beverage industry. In conclusion, Coca-Cola remaining resilient throughout decades and its ability to position itself as the leader of the beverage industry is a testament to its ability to their fantastic marketing strategies, iconic brand recognition, and strong foundation with its customers. Beginning from 1886 as a little pharmacy drink to become a generational beverage company, staying true to its original idea. Even with challenges of different companies such as Pepsi and Keurig Dr Pepper being strong competitors, Coca-Cola still becomes the drink for the ages, and the leader for ages.

Current Market Situation:**Market Description:**

Currently, Coca-Cola is still a dominant global beverage company through its ability to strategically market effectively. It has a wide variety of items and produces excellent free cash flow due to its low asset business model. Coca-Cola is known for producing its high margins which allows them to pay their investors dividends. One of the reasons for Coca-Cola's wide success is the ability to target all generations. A delicious drink has no age limit and can be drunk everyday. Coca-Cola can target all ages with their strong emotional branding abilities. Even with emerging new companies such as Celsius and Alani, Coca-Cola is standing strong in the beverage industry as the leader for the foreseeable future. As consumers are becoming more eco-centric, Coca-Cola is shifting into environmentally friendly standards. The official Coca-Cola website states they "Returned a cumulative total of 861 billion liters of water to nature and communities between 2021 and 2023" (The Coca-Cola Company 2023 Environmental Update, 2023, p. 4).

Year	Total Revenue (\$B)	Net Income (\$B)	Stock Prices (Year Ending 12/31)
2021	38.66	9.77	\$59.21
2022	43.00	9.54	\$63.34
2023	45.76	10.70	\$60.48
2024	47.10	10.60	\$67.07

2025 (Projected)	49.00	12.00	~\$68-70 (Estimate)
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Product Review:

Coca-Cola's most iconic drink is the Coke Classic derived from the original recipe from their founder, Dr. John Pemberton. Even with Coca-Cola's wide array of fantastic and innovative flavors, including Diet Coke, Coca-Cola Zero Sugar, and specialty variants such as Coca-Cola Cherry or Vanilla, the Classic Coke still reigns king among them all. With Market.us (n.d) stating "Americans drink an average of 399 servings of Coke products per year, with 63% of those servings being Coca-Cola Classic" (para. 1). The Coke Classic is the product that makes the loyal customer return for a second taste. The Classic Coke is a staple for many families and enjoy the product as shown with the excellent margins Coca-Cola makes. Coca-Cola has an extremely loyal customer base and throughout the years has continued to foster more and more customers to enjoy their drinks. The Coke-Classic is more than just a product that sells well; it is a company that has gone through American history. From the great depression, to many different kinds of cultural shifts throughout America. A 20 ounce Coke Classic ranges from \$1.00 - \$1.50 in the US and the overall gross margin for Coca-Cola in 2024 was 61.06%. The specific products are not disclosed, however, Coke Classic is known as their main product due to its worldwide demand. Coca-Cola can be served in an ice-cold bottle and enjoyed at the movie theaters, a restaurant, or at school. Even as consumers change and the tastebuds of people continue to evolve with the creations of new flavors and new products, the Coca-Cola Classic remains one of the greatest drinks in the past, and the present.

Competition:

Even with Coca-Cola being the leader in the beverage market, there are competitors trying to climb the food chain. With its main competitors being Pepsi and Dr. Keurig Pepper. Pepsi is known for their wide extension of drinks and snacks. Pepsi competes with Coca-Cola's carbonated soft drinks category, Coke Classic. Pepsi has a significant market share in the beverage industry with a market cap of 204 billion. Pepsi is continuously growing and is growing significantly throughout the years. Their ability to diversify and use horizontal integration to their advantage. According to Liu, (2025, March 17), Pepsi, "said it is buying the prebiotic soda brand Poppi for nearly \$2 billion, sending shares of the food and beverage company 1.6% higher" (para. 1). Dr. Keurig Pepper is another competitor that is trying to compete with Coca-Cola. Dr. Pepper has its signature drink, Dr. Pepper, A&W, and Snapple. Dr. Pepper may lack the ability that has a true competitor to Coke Classic, however, it still has many drinks that are popular that could put it in direct competition with Coca-Cola. Even with these competitors, Coca-Cola remains calm and continues to lead in the beverage market. They understand their strength and stay with what they're good for; offering a consistent, high-quality beverage experience centered around their flagship product, Coca-Cola Classic. Their approach to innovation generally complements their core product offerings, such as creating new flavors, such as the recent creation of Oreo Coke flavor.

Distribution:

Coca-Cola has one of the greatest distribution systems in the world. Coca-Cola has an operation spanning over 200 countries. Coca-Cola's distribution strategy remains a key factor in maintaining its global leadership in the beverage market. The company's distribution strategy, which integrates local bottling partners and a streamlined supply chain, which creates a strong

relationship with many countries. This good relationship allows for more leverage and exposure in the said countries. The Coca-Cola website (n.d.) says, “At The Coca-Cola Company, we market, manufacture, and sell beverage concentrates, syrups, and finished beverages, including sparkling soft drinks, water, sports drinks, juice, value-added dairy, plant-based drinks, tea and coffee” (para. 1). Their strong distribution centers is what allows them to deliver excellent production regardless of the country the product is produced. Coca-Cola has their consistency down to the tee and their sales show that. Moreso, Coca-Cola and their ability to evolve their time by integrating e-commerce into their sales is what keeps them a leader in the beverage industry. Yasmeeen (2024, September 20) says, “Coca-Cola has actively used this strategy. In 2024, for example, the company launched Happy Tears Zero Sugar, exclusively sold via TikTok in the US and UK” (para. 11). Coca-Cola’s expansive distribution network is a critical driver of the company's success and the improvement of expanding their e-commerce stakeholding, allowing it to consistently meet consumer demand across the globe.

Threats and Opportunities Analysis:

Strengths:

Coca-Cola has true strength in the market and market dominance. Coca-Cola also has a strong brand recognition that sets them apart from their competitors. Some examples of their dominance is their global recognition, their extensive distribution centers throughout the world, strong and diverse product portfolios. Their global recognition is one of their strongest reasons for their success. Their brand logo is one of the most recognizable brands with their distinct white and red logo. Coca-Cola has strong wordings with things like “share a coke” and “coke adds life”. Additionally, Coca-Cola has the greatest distribution network in the world. As previously stated, Coca-Cola products are available in over 200 countries which make it one of the biggest

beverages globally. Coca-Cola is easily accessible regardless of the market, from urban cities to remote villages. Coca-Cola also has a very diverse product portfolio and allows it to attract a broad range of different customers. Attracting healthy customers with products like Coke Zero and Diet Coke. They also have non carbonated drinks like Minute Maid and Dasani.

Weakness:

One of Coca-Cola's greatest weaknesses is the public perception of the damage of health from their products. As time passes, more information and awareness begins to encompass the average consumer. The average consumer is learning of the health issues related to the Classic Coke Coca-Cola provides. Coca-Cola is facing criticism due to the increasing obesity rate throughout the world. According to the Harvard T.H. Chan School of Public Health (n.d.), "Coca-Cola launched an "anti-obesity" advertisement recognizing that sweetened soda and many other foods and drinks have contributed to the obesity epidemic. The company advertised its wide array of calorie-free beverages and encouraged individuals to take responsibility for their own drink choices and weight. Responses to the advertisement were mixed, with many experts calling it misleading and inaccurate in stating the health dangers of soda" (para. 12.) It shows Coca-Cola understands the damages it causes. Another thing is their high dependence on highly carbonated Beverages. Coca-Cola has a high dependency on their carbonated beverages and the growth of carbonated beverages has slowly diminished throughout the years. There is a growing fear for the Coca-Cola company as it struggles to find a foothold in the non-carbonated drinks market.

Opportunities:

Some opportunities Coca-Cola can begin to invest in would be expanding their products into the healthier side. By expanding into healthier products, Coca-Cola can attract new customers and maintain a strong stance in the beverage industry. Consumer preferences are slowly gearing

towards more healthier options, Coca-Cola has to begin to expand their pallet of healthier products to keep up with the demand. Another thing Coca-Cola can do better is expand their business in emerging markets such as Africa, Asia, and Latin America. These regions are experiencing rapid economic development, which is contributing to an expanding middle class with greater purchasing power. Coca-Cola can capitalize on the growing wealth in these areas and use targeting product offerings and more localized marketing strategies. Coca-Cola can also try to use sustainable practice in these developing countries to build a better relationship with the people.

Threats:

As previously mentioned, drinks like Classic Coke are carbonated drinks and are the main source of Coca-Cola's success. However, the interest in carbonated soft drinks is slowly decreasing which leads to a big problem with Coca-Cola's main foundation. This shift in consumer preference towards healthier beverages, including bottled water, flavored water, teas, and functional drinks, threatens Coca-Cola's long-standing dominance in the soda market. The younger market is more aware of the health concerns Coca-Cola may institute which may lead to lower sales in the future. Coca-Cola will have no choice but to adapt to healthier products or they will lose their dominance in the beverage industry. Rey-López, Juan Pollo, and Gonzalez (2019) say, "Authors identified did not disclose having previous conflicts of interest. Problems with transparency among authors and the recipient organizations imply that we are offering very conservative estimates about the impact of this company on public health" (p. 810). Competitors like Pepsi are understanding the importance of being health conscious and leading them to acquire healthier drinks such as Bai and MuscleMilk. These types of drinks offer benefits such as muscle recovery, weight loss assistance, and a healthier lifestyle. Pepsi is doing well in

expanding their healthier products and Coca-Cola must also continue to expand their products which may not align with their historical ideals, but to survive Coca-Cola must adapt to the evolution of recent times and acquire healthier products.

Objective and Issues:

Coca-Cola isn't known for its wild returns in the market, but provides a safe and great way to receive dividends. Growing 15% in the beverage industry is difficult compared to other sectors in the market without years of growth. However If Coca-Cola needs to grow at that rate, Coca-Cola needs to expand into the emerging markets. By taking advantage of the new markets, Coca-Cola would have a new customer base and new money flowing into the business. With emerging countries appearing such as China, Coca-Cola can try to enter a massive market with a population of 1.4 billion. Instead of trying to advertise their best product, Classic Coke, Coca-Cola can find typical flavors that are enjoyed in their markets and incorporate with their Classic Coke taste to create a new flavor. Some examples of this are creations such as Orange Cream Coca-Cola and Vanilla Coca-Cola. Classic Coke is a tasty treat that is still enjoyed by most people in the world, however, Coca-Cola must diversify their profits into more products to have a safer portfolio in their business model. Expanding their product line is also important to continue proper growth for Coca-Cola.

Marketing Strategy**Product:**

Classic Classic is the Darling of the Coca-Cola business. The signature taste has been a staple for American consumers and others worldwide. It has timeless appeal and attracts all types of people throughout new generations. Coca-Cola maintains its leadership in the beverage industry with Classic Coke by using things such as brand recognition and emotional branding to appeal to

older generations. Classic Coke also leverages things such as brand collaboration to continue to remain relevant and appeal to new consumers. Classic Coke has a wide array of styles and shapes the bottle comes in to add a uniqueness and assistance to the customer depending on the correct circumstance.

Place:

Being the Classic Coke's strong suit, can found in multiple locations, such supermarkets, small convenience stores, fast food restaurants, and easily accessible online. One of Coca-Cola's strengths is the ability to distribute their products and the accessibility regardless of location. If you want a coke in the middle of nowhere, you'll find a nice Classic Coke if you enter any sort of store. This is made possible due to their amazing connections throughout the world.

According to Coca-Cola (n.d), "Coca-Cola and its nearly 225 independent bottling partners employ more than 700,000 people, helping bring economic opportunity to local communities worldwide. Due to the strength of this unique system, we are able to create global reach with local focus" (para. 1). It allows the company to assist emerging markets by producing new jobs and allows the company to expand its presence in different locations.

Price:

Coca-Cola Classic has a very safe and cheap price where it is placed to compete against competitors such as PepsiCo and Dr pepper. They also have multiple types of packages for the Classic Coke to allow families to buy in bulk or for a single use. Coca-Cola can incentivize customers to buy more with things like special discounts and limited edition offers during special events.

Promotion:

One of the strongest aspects of Coca-Cola's company is their ability to promote and evoke nostalgia with their advertisements. By using Classic Coke and its timeless presence, Coca-Cola can expand its presence with new forms of advertising with things such as Tik-Tok and Instagram to attract new generations. These platforms allow Coca-Cola to engage with younger generations, creating dynamic and shareable content that resonates with the digital age. Coca-Cola can expand their products and presence with Tik-Tok by blending nostalgia and content that resonates with the newer generations.

Positioning:

Coca-Cola positions itself as the leading global brand in the beverage industry. Coca-Cola has mastered its marketing status through its emotional appeal through its strong and lasting connections with its consumers. The Classic Coke is known for their iconic taste and evokes memories and nostalgia. Coca-Cola must continue to advertise and promote the Classic Coke with positive memories and continue to position themselves as a brand with emotion and memories. By emphasizing its timeless taste and using its advantage with its memories and nostalgia, Classic Coke can continue to position itself as a leading product in the beverage industry.

Action Program:**Quarter 1: January - March**

Classic Coke is a very iconic and tasty drink, however, other countries may have different tastes and enjoyments. The most important thing Coca-Cola needs to do before entering new markets is to begin studying the different types of local tastes, preferences, and cultural nuances in

emerging markets such as India, Brazil, and Southeast Asia. The Coca-Cola marketing team must create a research team to discover their flavors and tastes. The research will be done by the end of the Quarter 1 to begin enforcement in Quarter 2. Coca-Cola can also identify top influencers in their countries and sign them to target the younger audiences in their markets. India, Brazil, South Asia are emerging markets and Coca-Cola should emphasize their focus on these markets. Coca-Cola will spend 10 million for research and development and influencer campaigns.

Quarter 2: April - June

Now, with the information Coca-Cola has about the emerging markets and their distinct flavor and tastes, Coca-Cola can begin producing new flavors while using the Classic Coke flavor as its base. For a country like India, Coca-Cola can release a flavor like Masala to incorporate a familiar flavor for their country. Brazil enjoys fruity drinks, so incorporating a mango Coca-Cola flavor may be beneficial for the company. Southeast Asia may enjoy a drink like Coke Classic infused with lychee flavor. Coca-Cola needs to expand their digital ads in their area and must incorporate their cultures and beliefs to capture the most attention from consumers in the market. Coca-Cola will use around 3 million dollars for digital ads in the emerging markets. By the middle of Quarter 2, Coca-Cola must find their footing in new emerging markets to decide if the markets are interested in their product. This will cost around 3 million dollars to complete it effectively. Next, Coca-Cola will then distribute their smaller package with the new flavors to see if the sales will click with their new consumers. By the end of Quarter 2, Coca-Cola will spend around 5 million to test these new flavors.

Quarter 3: July - September

Coca-Cola needs to take advantage of the summer season as Coca-Cola Classic Coke is a great drink for the summer vibes. Coca-Cola will sponsor major regional festivals, concerts, and sports events to further build brand recognition and consumer loyalty. By expanding their presence in the market, Coca-Cola can build a positive experience with their new customers and create that emotional branding that Americans understand Coke has. Coca-Cola can create custom packages for the events and create some exclusivity to incentivize new customers to try their new flavors. This will cost around 5 million to test the enjoyment of the new flavors. Coca-Cola can also expand their markets in these markets by expanding their new flavors into rural areas. They must create new distribution channels in these areas to create the same sense of availability they have in the United States. The cost of this will be 15 million dollars to expand properly.

Quarter 4: October - December

Coca-Cola sells well during these periods with a multitude of major events during these months. Coca-Cola must use this time to expand their sales by creating holiday-themed products to incentivize excitement and new interest for customers. They can bundle these new holiday-themed products with limited edition discounts and more bundled offers as customers are more likely to buy larger quantities during these times. This will cost around 5 million dollars to expand their holiday theme products in the emerging markets. Lastly, Coca-Cola will now access the return in investment by penetrating these new markets. They will conduct an evaluation of the social media and influencer marketing campaigns. The cost of this will be around 1 million dollars to have a complete analysis of the benefits of the advertising of the emerging markets.

Total Cost of the year is 45 million**Budgets:**

With the average cost of a Coca-Cola being an average price of \$1.50, and expecting to sell around 500 million units, Coca-Cola will produce around 750 million dollars. Marketing should increase sales so the price may be more around the 800 million dollars which would nearly pay off for itself and create more of a loyal customer base in the emerging markets. As this is an emerging market, the revenue may not be as high as their United States counterparts. However, as the emerging market grows and learns more about the new flavors and their brand, Coca-Cola should expect a higher revenue as years pass. Some administrative costs may be expensive which could cost around 50 to 75 million dollars. However, as I previously stated, the main goal of the annual year is to expand the emerging markets and allow for more exposure in new grounds.

Controls:

To manage and see the Coca-Cola 2025 marketing plan succeed, control is a necessity to allow the plan to flow properly. By monitoring the 500 million units being sold, Coca-Cola can make immediate adjustments to change the marketing depending on the weakness of the plan.

Consumer value is priceless and will be gathered through surveys and email feedback to see the enjoyment of the new flavors being provided to the emerging markets. Coca-Cola will also analyze the 45 million dollar investment and see the value it provided to see if the marketing plan was effective and could be used again in the future. Another way to view the control of the success is seeing the value provided during the festival sponsorships. Additionally, Coca-Cola will monitor if the independent distributors are properly moving supply efficiently and effectively. Competitors will also be viewed to see if Coca-Cola is taking a share of the market in the emerging markets. Coca-Cola will review competitors successes in the emerging markets and take their plans and incorporate them into Coca-Cola.

Appendixes:**EFA Table:**

External Factors	Weight	Ratio	Weighted Score	Comments
Opportunities				
Emerging Market Expansion	0.25	4.0	1.00	High growth potential in developing countries
Healthier Products	0.2	0.35	0.70	Increasing demand for low-sugar and functional drinks
Threats				
Competition from other beverage companies	0.30	3.0	0.90	Strong competition from Pepsi, Dr Pepper, and other brands
Decrease in carbonated drink interest	0.25	2.5	0.625	Consumers shifting toward healthier alternatives
Total Weight Score	1.00		3.225	Coca-Cola's response to external factors is moderately strong

IFA Table:

Internal Factors	Weight	Ratio	Weighted Score	Comments
Strengths				
Strong brand recognition	0.20	5	1.00	Strong market presence and customer trust.

Loyal customer base	0.20	4	0.80	High repeat purchases; strong word-of-mouth. Helps maintain market share.
Weakness				
Unhealthy sugar content	0.25	2.0	0.50	Growing concerns of health problems with consumers.
Heavy reliance on carbonated drinks	0.25	0.30	0.75	Vulnerable to shifting consumer tastes toward healthier options.
Total Weight Score	1.00		3.05	Coca-Cola's response to internal factors is moderately strong

SFA Table:

Strategic Factors	Weight	Ratio	Weighted Score	Short-Term	Intermediate	Long-Term	Comments
Emerging Market Expansion	0.25	4.0	1.00			x	High growth potential in developing regions.
Strong brand recognition	0.20	5.0	1.00		x		Significant influence on customer loyalty and pricing power.
Unhealthy sugar content	0.25	2.0	0.50	x			Increasing consumer preference for healthier alternatives.
Decrease in carbonated drink	0.30	3.0	0.90			x	Shift toward non-carbonated and functional

interest							beverages.
Total Weight Score	1.00		3.40				

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